

DISSENTING OPINION BY M. NYHOLM.

[*Translation.*]

The present case is now before the Court only for a decision on the question of jurisdiction. The merits, therefore, namely, the claim for damages to be paid to M. Mavrommatis by the Mandatory for Palestine, in consequence of having prevented the readaptation of M. Mavrommatis' Turkish concession, which readaptation had been decreed by the Court (Judgment No. 5 of March 26th, 1925), have not now to be considered. Giving the case the degree of simplicity which it should have at the present stage, it is only necessary to consider the Mandatory's plea to the effect that the Court has no jurisdiction to entertain the suit.

Before approaching this question, it should be observed that in a suit brought in 1924 by the Greek Government (a suit of a nature entirely similar to the present one), the Court declared itself to have jurisdiction in Judgment No. 2 of August 30th, 1924, and in so doing expressly based its jurisdiction on Article 11 of the Mandate for Palestine of July 24th, 1922.

* * *

In order to determine the scope of the jurisdiction obtained by the Court from the Mandate for Palestine, which is the sole source of the Court's jurisdiction to consider the Mandate, regard must be had (1) to the character of the Mandate and especially to the reasons which led the League of Nations to insert in the Mandate a clause giving jurisdiction to the Permanent Court of International Justice, and (2) to the structure of the Mandate in order to ascertain in what manner, by which articles of the Mandate and within what limits, this jurisdiction has been established. *Ad* (1): As regards the first point, the historical development of the Mandate system shows that the mandatory Powers were to carry out this task under the control of the League of Nations to which they were bound to submit annual reports.

The institution of this control was due to the fact that the Powers did not wish to leave a mandatory at liberty to govern mandated territories entirely at his discretion. Certain limits were to be fixed, not only with a view to harmonizing the principles established under the various mandates, but also with a view to establishing special rules in regard to each country, that is to say, a guarantee that the administrations should act in accordance with the principles adopted in the interests of the community of nations by the Covenant.

The guarantee which offered itself consisted in conferring on the Court—a new international institution—jurisdiction to decide any questions regarding the interpretation and application of the Mandate.

Mandatories were not to infringe the rights either of States or of individuals. Each State therefore has a right of control which it may exercise by applying to the Court. It is true that there is no provision giving the Court jurisdiction as regards the relations between individuals and the mandatory, but it is to be presumed that, if a subject of a certain State suffered injury, his government would, if necessary, take action on his behalf. When a suit is conducted between a mandatory and another Member of the League of Nations, regarding a question of interpretation or application—which is precisely the case in the present suit—, Article 26 of the Mandate gives the Court jurisdiction. This article is also recognized by the judgment given to-day to be the general basis of the Court's jurisdiction. But whereas the judgment seeks to limit this jurisdiction on the basis of Article 11 of the Mandate, it may be shown that this article contains no rule in regard to jurisdiction.

Turning next to point (2): This follows from an examination of the structure of the Mandate. The latter contains, apart from various paragraphs of no importance from the point of view of the present case, Article 26 which lays down the general rule in regard to jurisdiction, and Article 1 which relates to the administration of the Mandatory. Article 1 says:

“The Mandatory shall have full powers of legislation and of administration, save as they may be limited by the terms of this Mandate.”

These limits were necessary with a view to the control of legislation and administration. They are laid down in the following articles—2 to 23—which give special instructions regarding the exercise of his power by the Mandatory. Thus Article 2 relates to the creation of a national home, and the following articles relate to various matters such as emigration, nationality regulations, the establishment of a judicial system, etc. Article II, with which the present case is specially concerned, refers to the necessary measures to be taken by the Mandatory, “for the development of the country”.

In order to enable the case to be properly understood, it will be well at this point to reproduce the text of Article II in full:

Article II.

“The Administration of Palestine shall take all necessary measures to safeguard the interests of the community in connection with the development of the country, and, subject to any international obligations accepted by the Mandatory, shall have full power to provide for public ownership or control of any of the natural resources of the country or of the public works, services and utilities established or to be established therein. It shall introduce a land system appropriate to the needs of the country, having regard among other things to the desirability of promoting the close settlement and intensive cultivation of the land.

“The Administration may arrange with the Jewish Agency mentioned in Article 4 to construct or operate, upon fair and equitable terms, any public works, services and utilities, and to develop any of the natural resources of the country, in so far as these matters are not directly undertaken by the Administration. Any such arrangement shall provide that no profits distributed by such Agency, directly or indirectly, shall exceed a reasonable rate of interest on the capital, and any further profits shall be utilized by it for the benefit of the country in a manner approved by the Administration.”

Upon examining the text of this article, it will be seen that it forms part of the series of indications laid down for the

Mandatory in Articles 2 to 23. It deals with the particular subject: "the development of the country". This development is supposed to be based upon the exploitation of the natural resources of the country, that is to say, of public works, services and utilities, such as tramways, railways, electricity and water works, ports, etc. The article also mentions as a special point the introduction of a land system appropriate to the needs of the country. Again, it adds that in carrying out this programme, the Mandatory will have full power to make arrangements, in order that, as far as possible, these public works shall be exploited by the State, or, at all events, subjected to government control. If the word "full" is not a mere pleonasm, it is perhaps intended to emphasize that the intention is that the Mandatory should make every effort to obtain ownership of or control over public enterprises, in accordance with modern ideas. That that is the intention and aim expressed in the first paragraph, appears indirectly from the second paragraph. The article therefore simply lays down the following general indication for the Mandatory: in the first place, it is desirable that the exploitation of public works should be in the hands of the State and that in any case government control should be procured by inserting appropriate articles in the concessions which form the bases of the development of the resources of the country. Understood in this way, the interpretation of the article becomes simple; but this simple construction is not adopted in the judgment, which regards the article as containing rules concerning jurisdiction. This view has perhaps been taken to some slight extent on the basis of the French text which uses the word *décider*; this, however, is an inadequate translation, hardly in accordance with the intention of the clause of the English phrase "provide for", which here would be better translated by *avoir soin d'établir*. Article 11 indeed contains no provision regarding jurisdiction. The Court confines itself to saying (Judgment No. 2, page 18) that it "feels that the present judgment should be based principally on the first part of paragraph 1 of Article 11". It is not easy to see on what basis the judgment succeeds—without other commentaries—in establishing that the jurisdiction of the Court is determined in Article 11 and precisely by the phrase to the effect that the Mandatory

acts in the exercise of his full power to provide for public ownership or control. These words are certainly not intended here to serve as a basis for a jurisdictional rule. They constitute in themselves a vague criterion. The judgment admits that "the exercise of full power to provide for public control" is essentially a question to be decided in each case as it arises, and the interpretations of a somewhat restrictive character which have to be placed upon them in order to apply them are often of a subtle character which is in contrast to the clearness which should govern the important question of jurisdiction.

The judgment thus finally says that the grant of a concession providing for public control does not in itself constitute an exercise of the "full power" in question, but that the special circumstances of each case must be considered; that jurisdiction is restricted to the actual grant of the concession, but that it does not in principle extend to cover the subsequent exercise of the control provided for in the concession; this appears to constitute an obstacle to a reasonable application of the rules of jurisdiction. The judgment then, basing the jurisdiction of the Court on the phrase in Article 11, which is not calculated to form a basis for jurisdiction, arrives successively at a number of hardly admissible conclusions.

Thus it says that the Mavrommatis concessions of 1914 do not fall within the scope of the article and that the Court can only deal with them in so far as they are affected by the Rutenberg concessions.

Although the Mavrommatis concessions may not have been granted by the Mandatory but previously by Turkey, the Mandatory is concerned with them, since he must bring them definitely into existence by readapting them, and that, in order to fulfil the international obligations set out in Protocol XII.

As regards this Protocol, the judgment concludes that, subject to a few particular cases, it cannot come into account except in pursuance of an agreement between the Parties, because the Protocol does not contain any special rule relating to jurisdiction. In Judgment No. 2, however, it was stated, with regard to a discussion relating to the origin of the Protocol (page 31), that the Protocol is the complement of the provisions of the Mandate in the same way as a set of regulations alluded to in a law indirectly form part of it.

Moreover, the agreement does not possess a formal character but appears to be deduced from a few phrases which appear in the pleadings. Furthermore, Judgment No. 2 only contains a vague allusion to the necessity of an agreement, and it is only Judgment No. 5 which contains a statement relating to it; but this judgment cannot restrict the jurisdiction established by a previous judgment.

The development of the theory which bases jurisdiction upon Article II thus, as a consequence, provides an entirely vague criterion, dependent in each case upon a restrictive interpretation as regards jurisdiction, whereas precise terms were necessary in order to establish an exception to the general rule of Article 26.

This rule establishes as a guarantee for the Powers a system of control which ensures that the Mandatory will act in conformity with the provisions of the Mandate.

The intention underlying the Mandate was certainly not that the clear general rule as to jurisdiction inscribed in Article 26 concerning any question of "interpretation and application" of the Mandate should be capable of being overruled by specific interpretations of the different articles.

The same ground which enables the judgment to find in Article II a restriction upon the jurisdiction would enable also to find such a restriction in the other articles of the Mandate, and the result would be that the Mandatory would become more or less free from control by the Powers.

Other consequences which it is difficult to admit may also be deduced from the theory upon which the judgment is founded. According to this theory, the jurisdiction of the Court is confined to the cases in which one can discern an action on the part of the Mandatory which consists of the exercise of a certain power of control. As regards any other action on the Mandatory's part, the Court would have no jurisdiction.

In the case under consideration the actions by the Mandatory which are in question have not regard to the grant of a concession, but are actions which would result in the annulment of the rights of M. Mavrommatis to obtain a definite concession. As regards these actions, the Court would thus have no jurisdiction. It is obvious that the Mandatory may choose

the methods of taking action that he wishes, but it follows that by the choice of *his own line of action* a mandatory may abolish the jurisdiction of the Court, an inadmissible proposition. Moreover, generally speaking, it may be said that if the jurisdiction of the Court, set up as a guarantee for the nations, is found, as regards concessions, to be limited to the sole grant of such a concession, and this having regard to the special conditions particular to each case, and according to the surrounding circumstances of such grant, this is a conclusion which appears to be unacceptable. Indeed, the jurisdiction of the Court as regards the Mandate should be *general*, subject to specific exceptions. The reason underlying the judgment admits the jurisdiction of the Court *as an exception*, which signifies in reality a cancellation of Article 26.

* * *

The demonstration which precedes will not be followed up by a detailed examination of the judgment. It is only necessary to point out that even the reasoning of the judgment leads to the acceptance of jurisdiction by the Court. In reality the present case is merely the *continuation* of the former one. If it is to be considered as a new *independent* case, it is, on this assumption, *identical* with the first. In both cases the jurisdiction of the Court should be affirmed.

That the case is a *continuation* of the former one, may be deduced from the fact that the Court (Judgment No. 5) had placed the Parties before the obligation of readaptation. The readaptation was interrupted. M. Mavrommatis claims that this was through the fault of the Mandatory and draws the conclusion that the case should be taken up again in order to be terminated by the allocation of damages. It is clear that this is a question merely of continuation.

On this important question of jurisdiction the judgment does admit (page 14) that "the present suit at first sight would seem to be a continuation of the case decided by Judgments Nos. 2 and 5", adding, however, that "it does not follow from this circumstance that the jurisdiction accepted by the Court in Judgment No. 2 also exists as regards the present case. For this case concerns facts which have occurred since

these judgments were given and the solution of the question now before the Court depends upon the nature of these facts in relation to the clauses governing the Court's jurisdiction in the present suit".

In the second place, even if the case is a new and independent one, it is identical with the former case. It is only necessary to recall the two concessions granted to Mr. Rutenberg on September 21st, 1921, and March 5th, 1926, respectively. The Court ruled that it had jurisdiction as regards the reaction of the first concession on M. Mavrommatis' position. It is submitted that the case is identical as regards the second concession. Here, as in the first case, the submissions refer to the fact that the Rutenberg concessions have influenced the financial circles, in which the smallest uncertainty is fatal as regards many transactions, and that they had effectively prevented the financing of M. Mavrommatis' undertaking. The Court has jurisdiction, as in the first case, to determine this question.
